

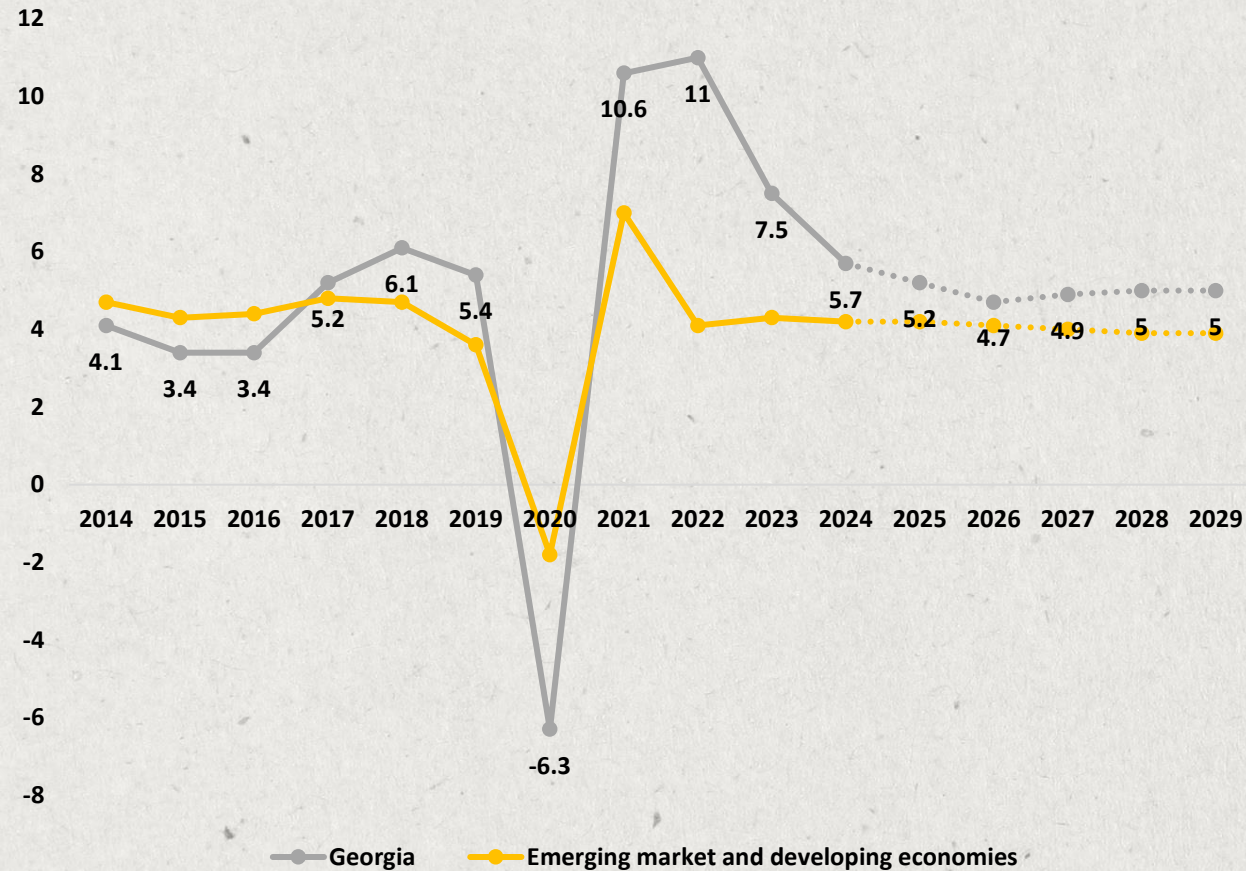


GEORGIA— Fiscal Policy Analysis

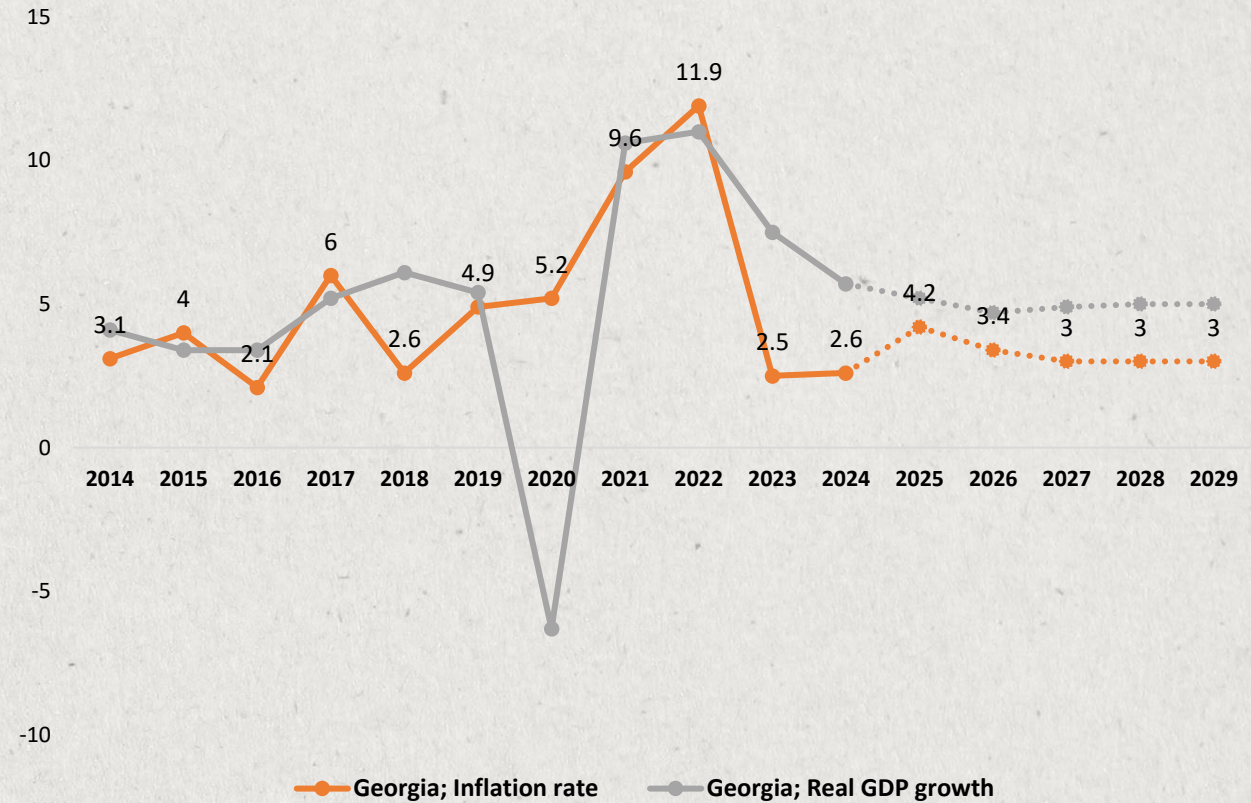
Presented by
Anna's Team

Macroeconomic Indicators

Real GDP growth (Annual change, %)

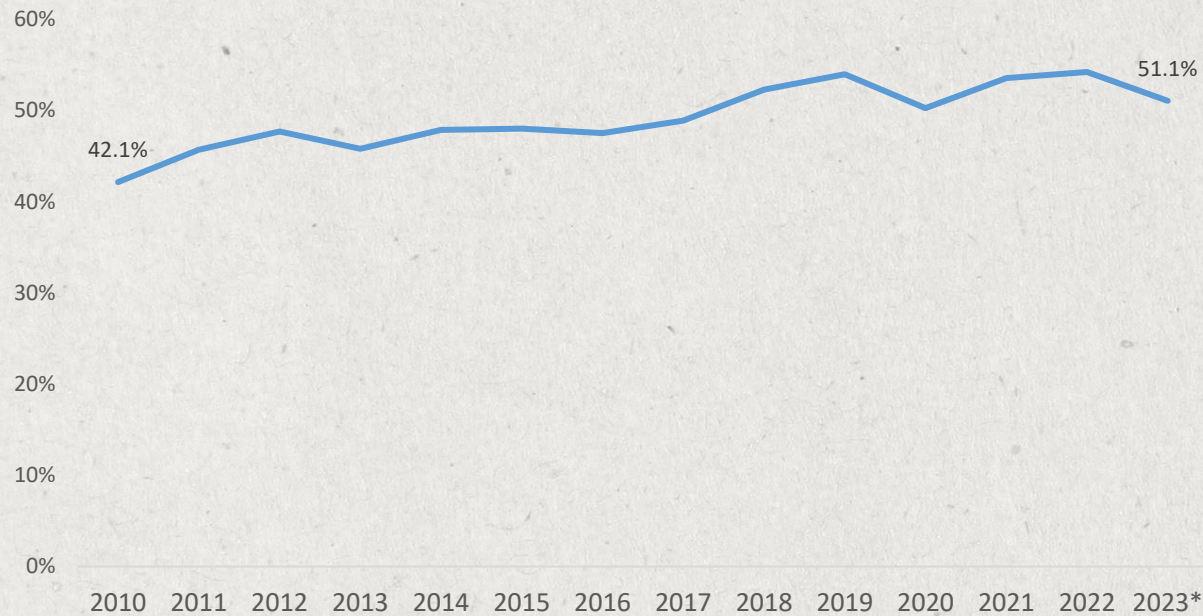


Real GDP growth and inflation rate (Annual change, %)

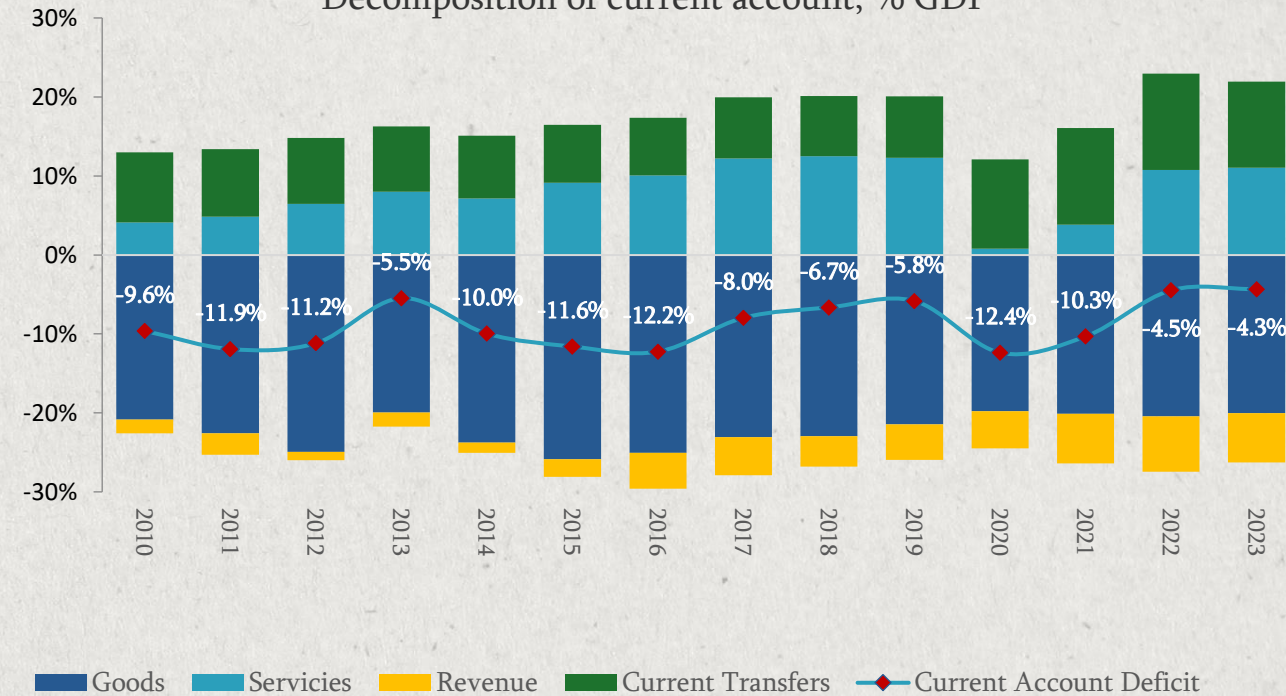


Major Macroeconomic Vulnerabilities

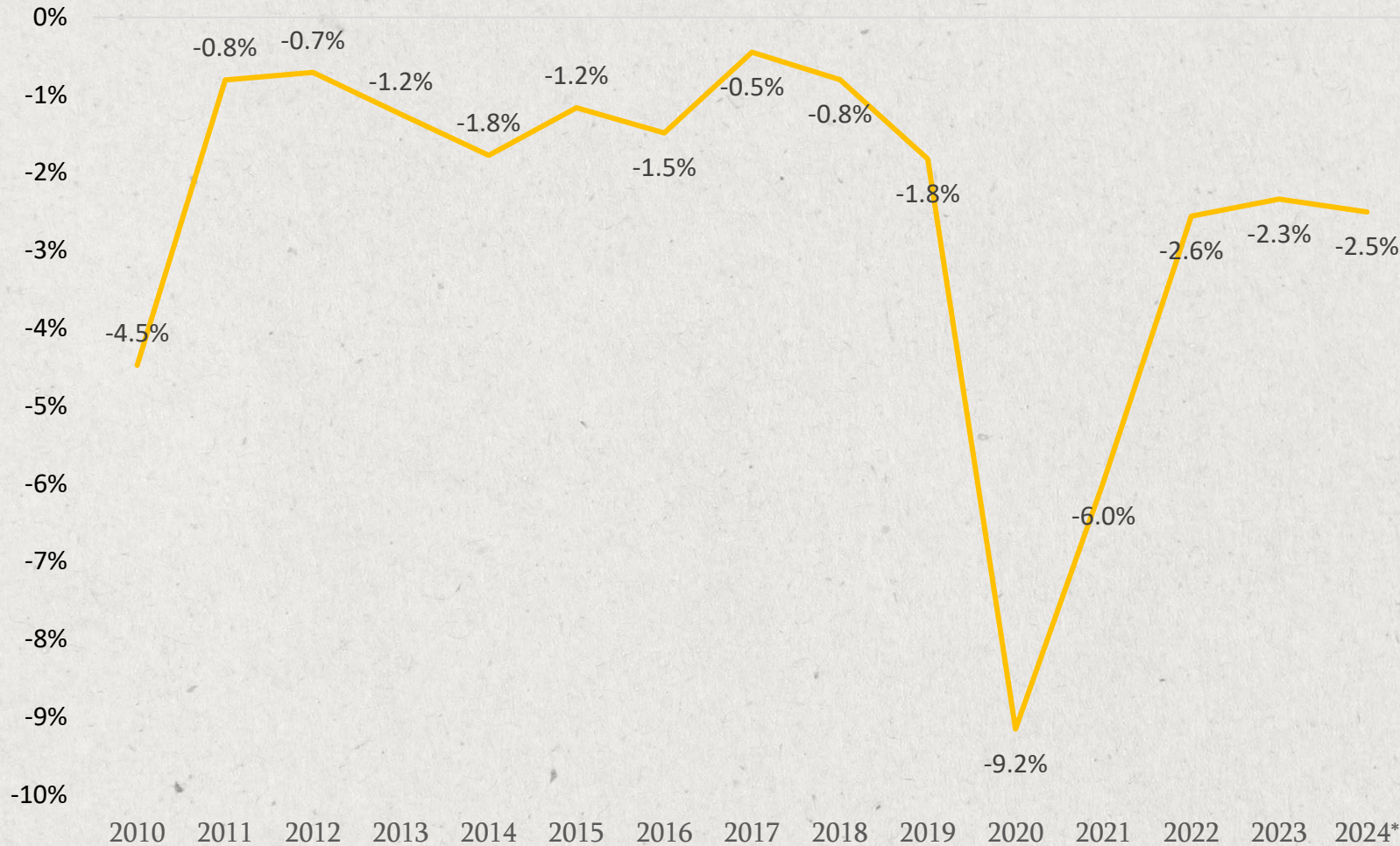
Import Dependency (value of imports, % GDP)



Decomposition of current account, % GDP

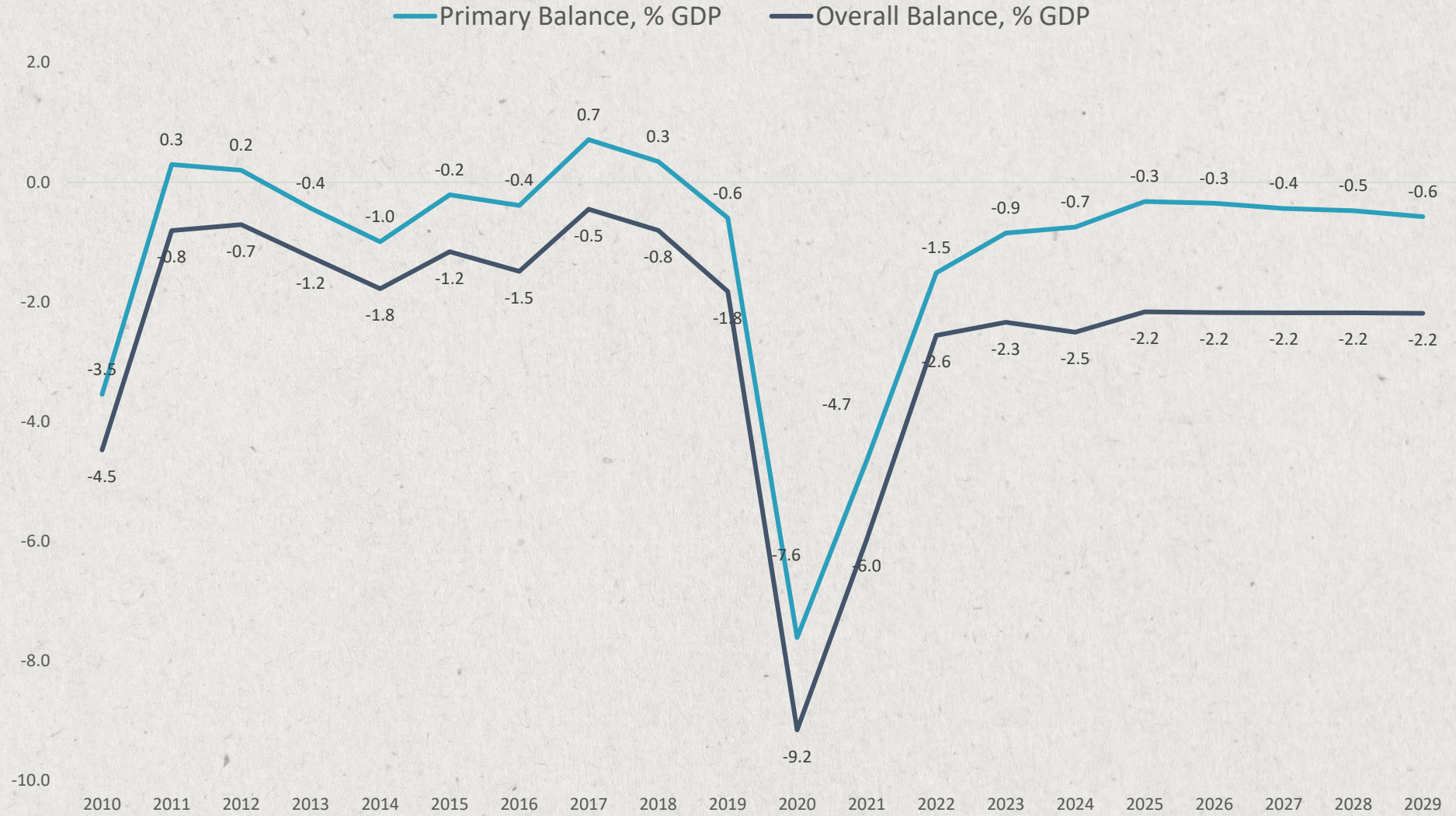


Fiscal Balance

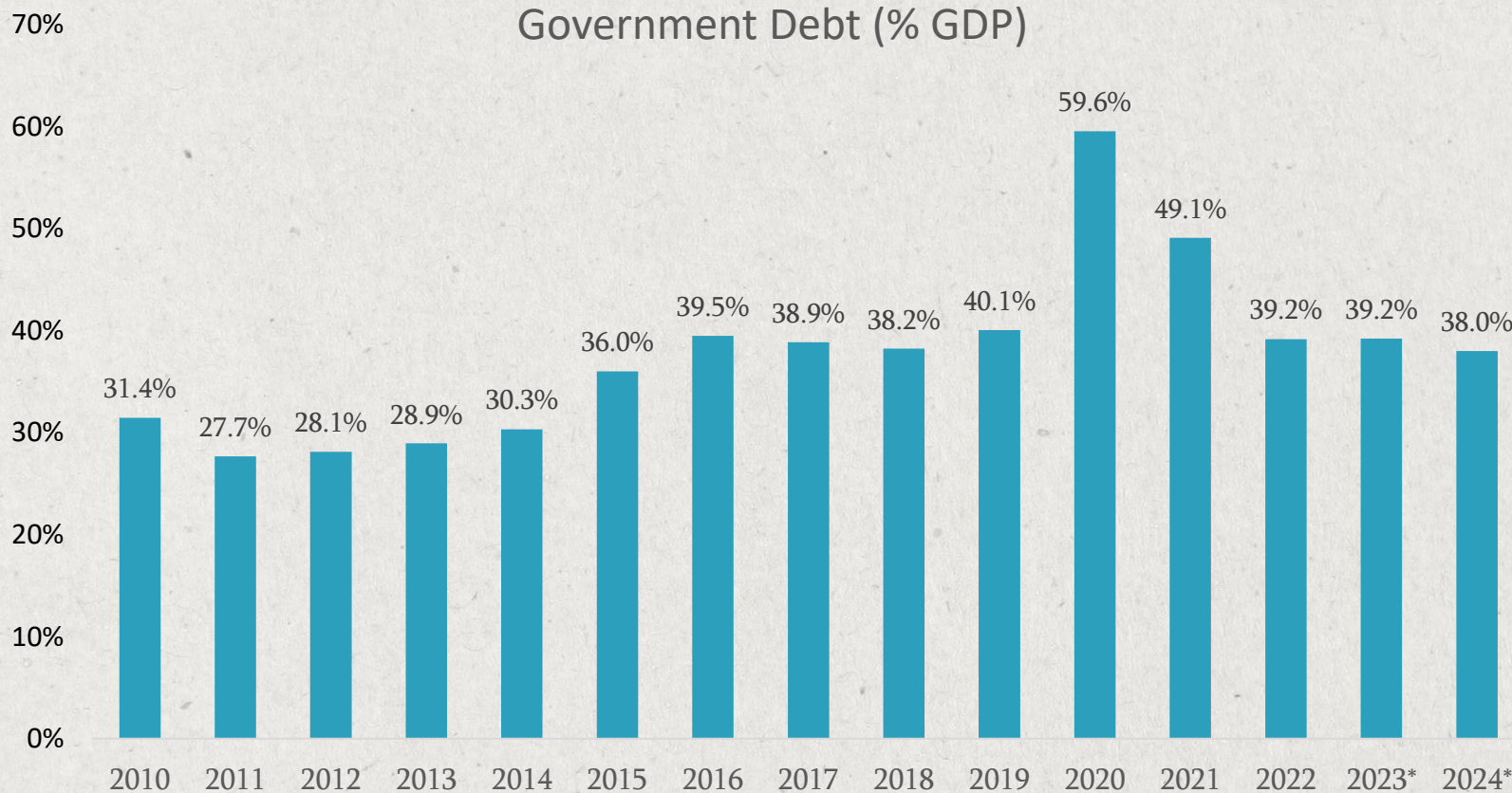


Main Drivers:

- exchange rate appreciation
- enhanced revenue generation
- High rates of economic growth



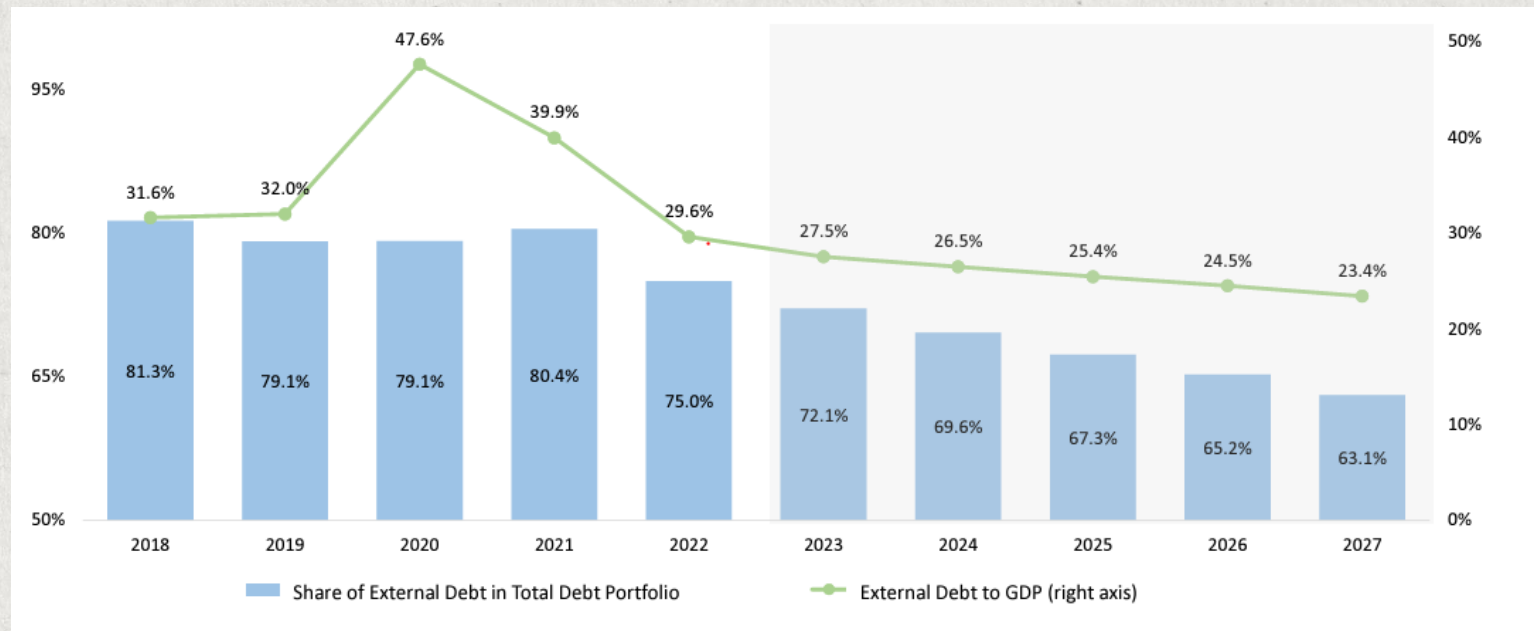
Government Debt



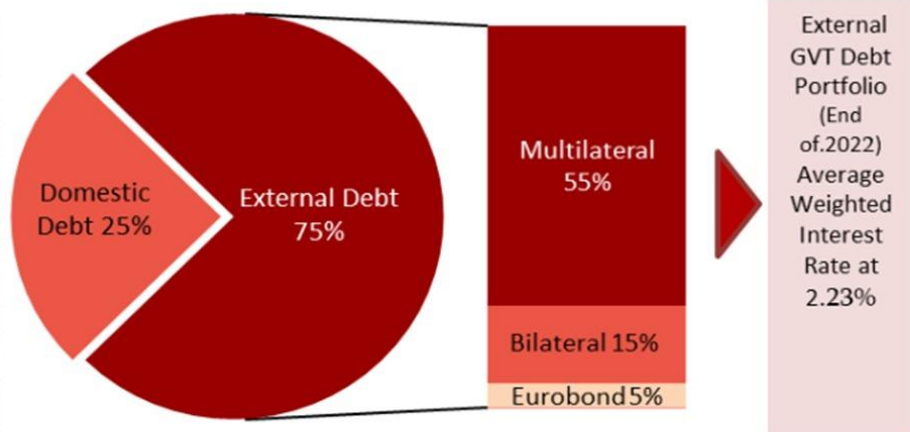
Main contributors to the decline:

- High rates of economic growth
- Exchange rate appreciation
- Low real interest rate (high inflation)

- ❖ Government Strategy: reduce the share of external debt while increasing GEL-denominated debt in the government's portfolio

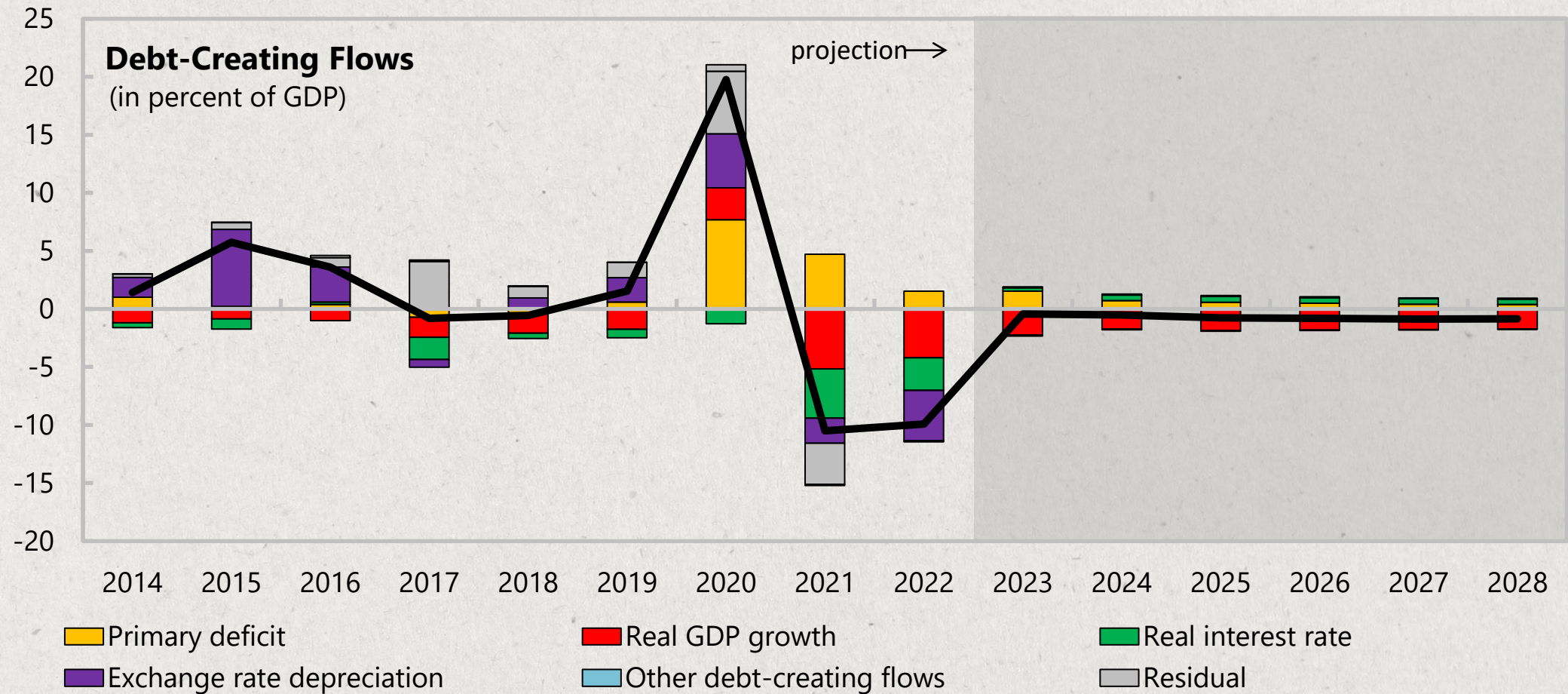


Affordable Public Debt Situation and Very Low Interest Rate on External Public Debt

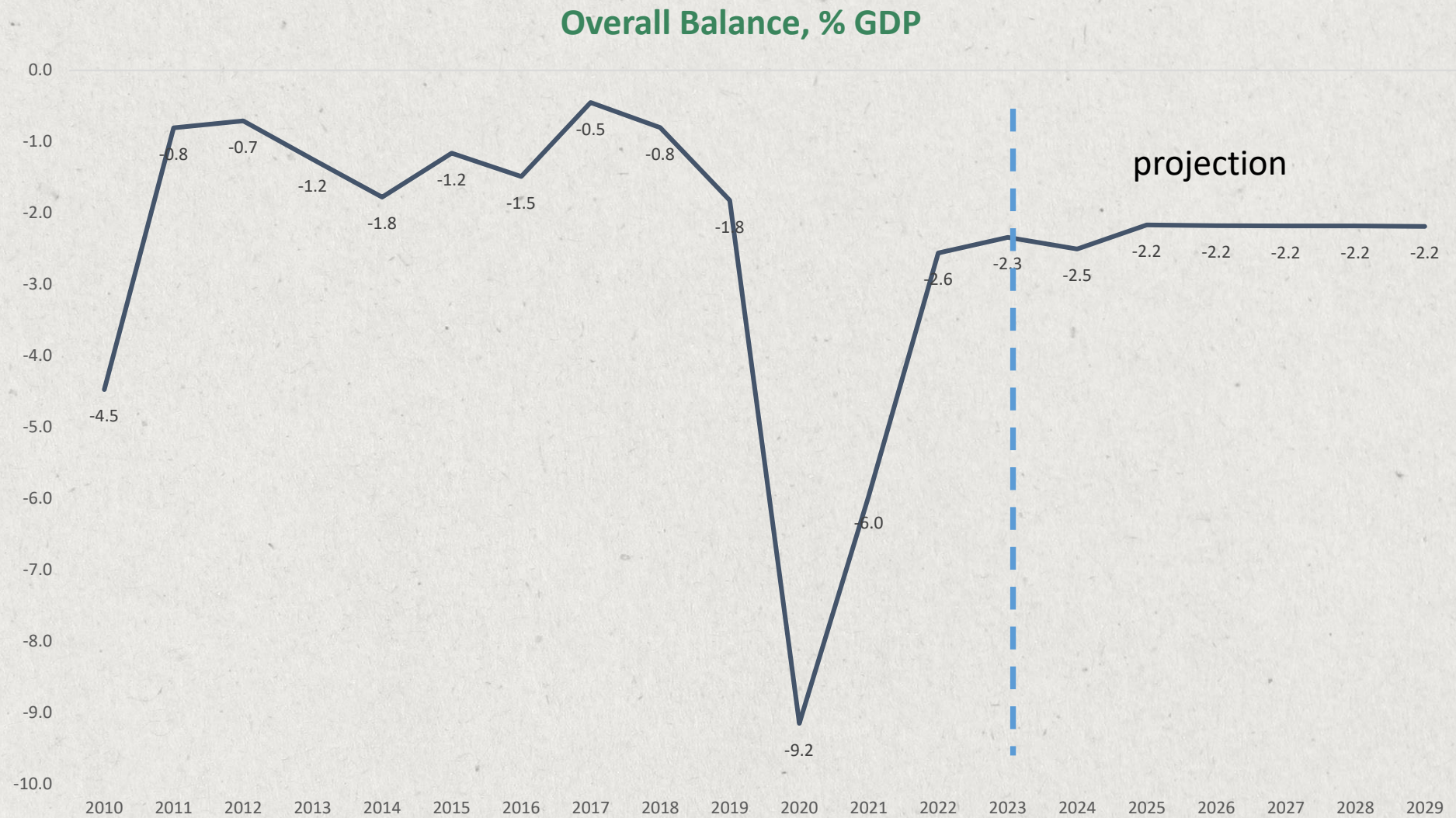


- ❖ public debt has a favorable composition, with a significant proportion from multilateral creditors with low interest rates and long maturities

Debt Stabilization

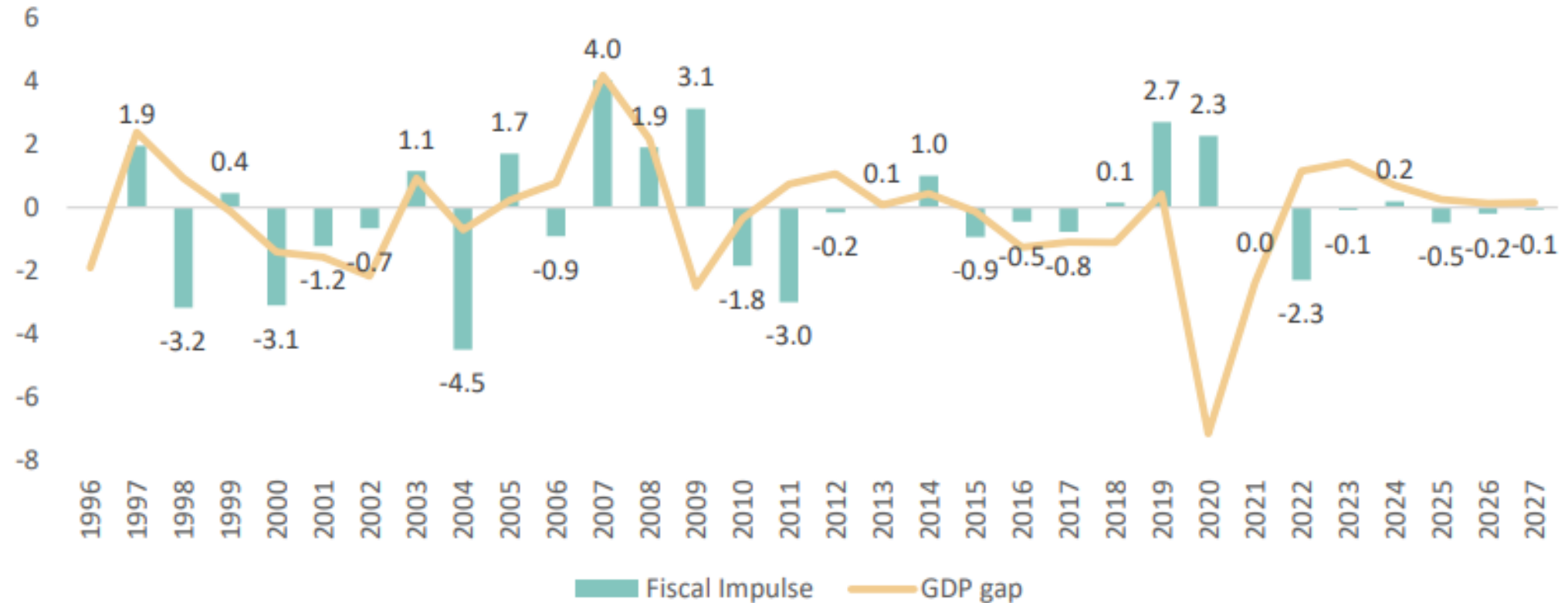


❖ The debt stabilization strategy projects debt below 40% of GDP in the medium term



Medium-term projections forecast the fiscal balance to remain below the fiscal rule target of 3%.

Output gap and fiscal impulse



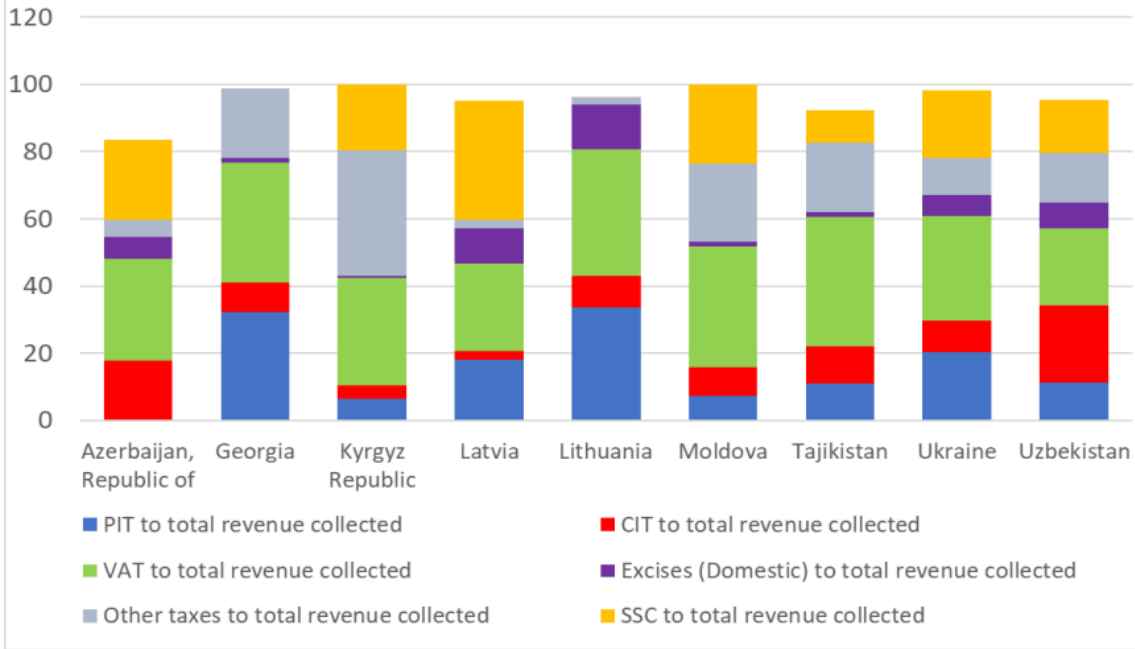
Source: MOF calculations

Last few years fiscal policy has been mainly counter-cyclical

Revenue Mobilization

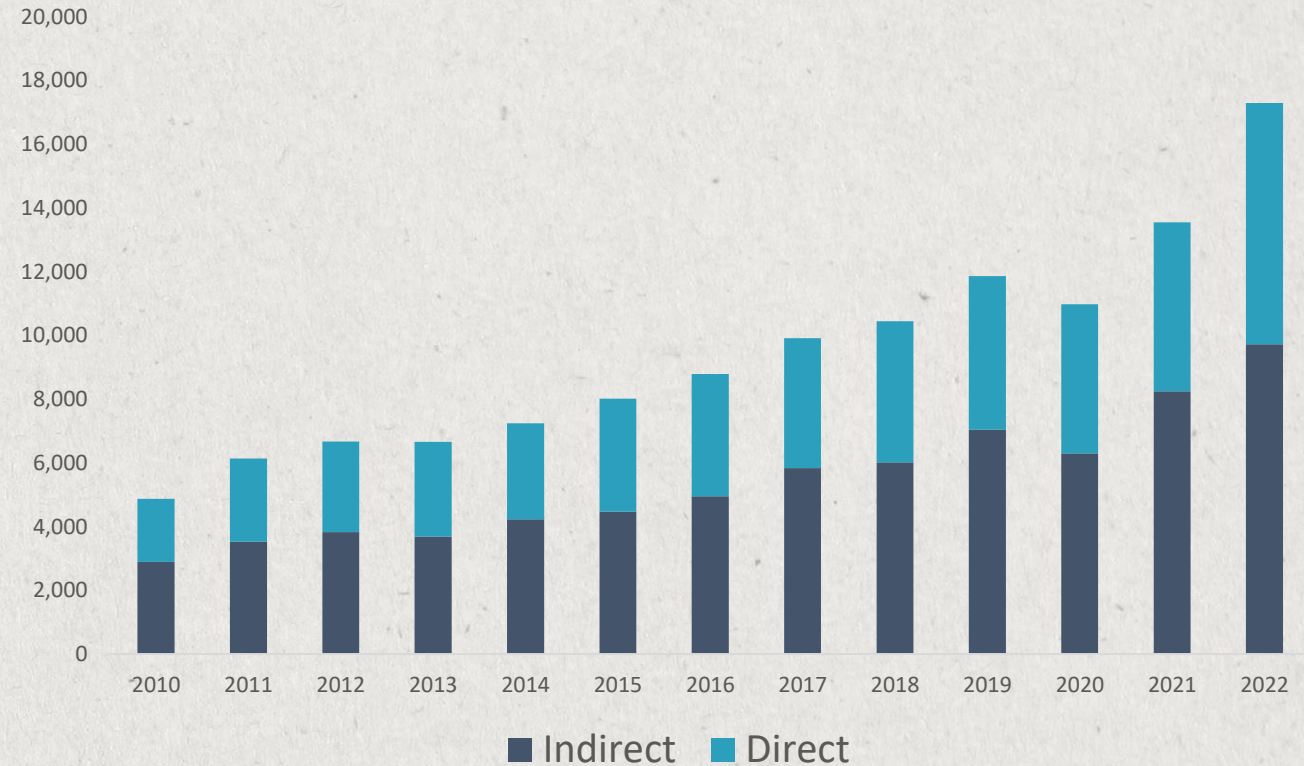
Tax Structure

(2021, in percent of total revenue)

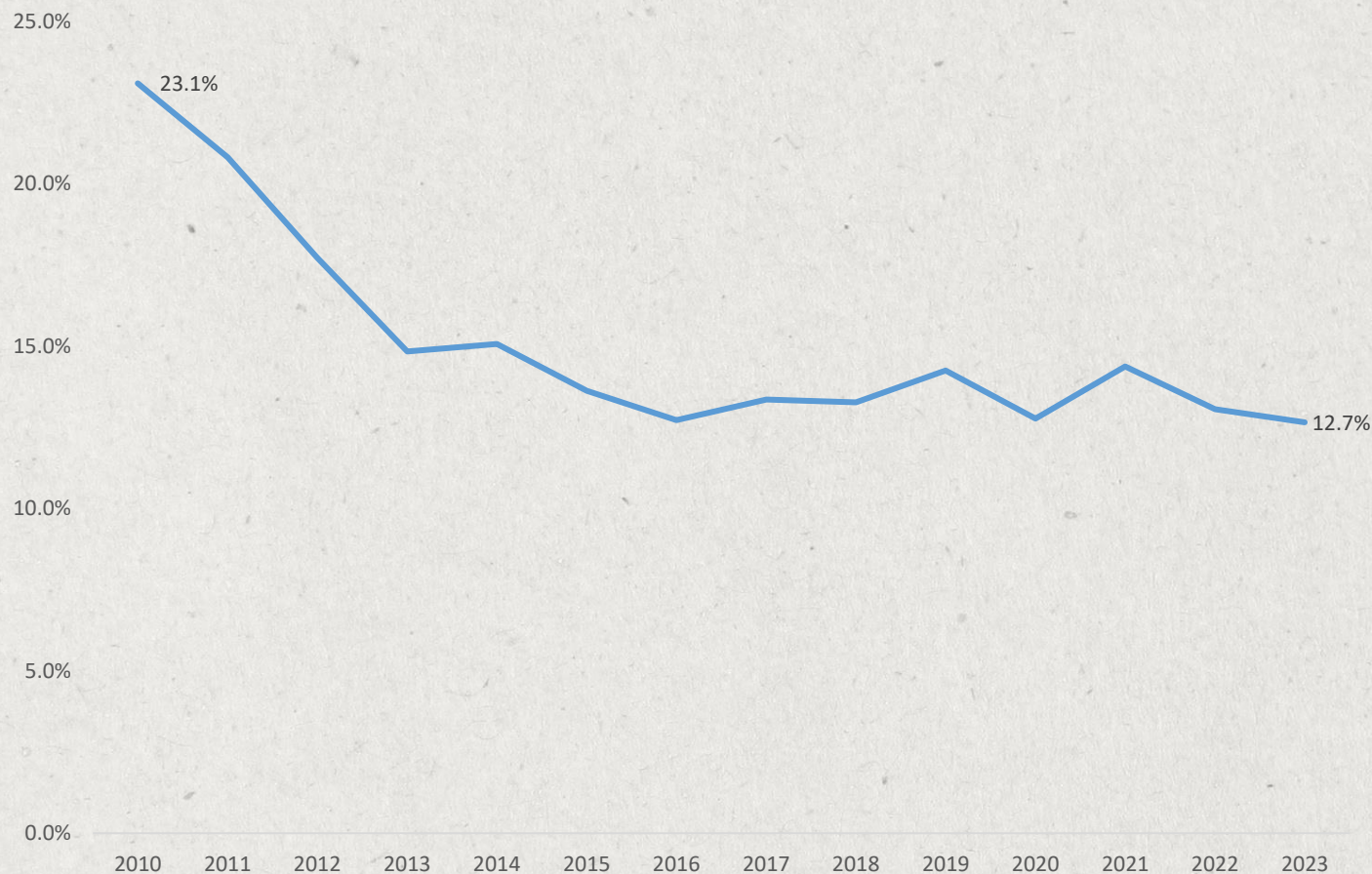


CIAT, IOTA, IMF, OECD, International Survey on Revenue Administration,
<https://data.rafit.org>

Tax Composition



Share of informal economy, %



□ The substantial presence of the informal sector in the economy poses a significant challenge in generating revenue

The government has initiated efforts to promote a shift towards increasing the proportion of direct taxes:

- Gross Gambling Revenue
- corporate income tax (CIT) structure

Fiscal Spending

Georgia -- Economic Classification (in percent of total), Latest Value Available

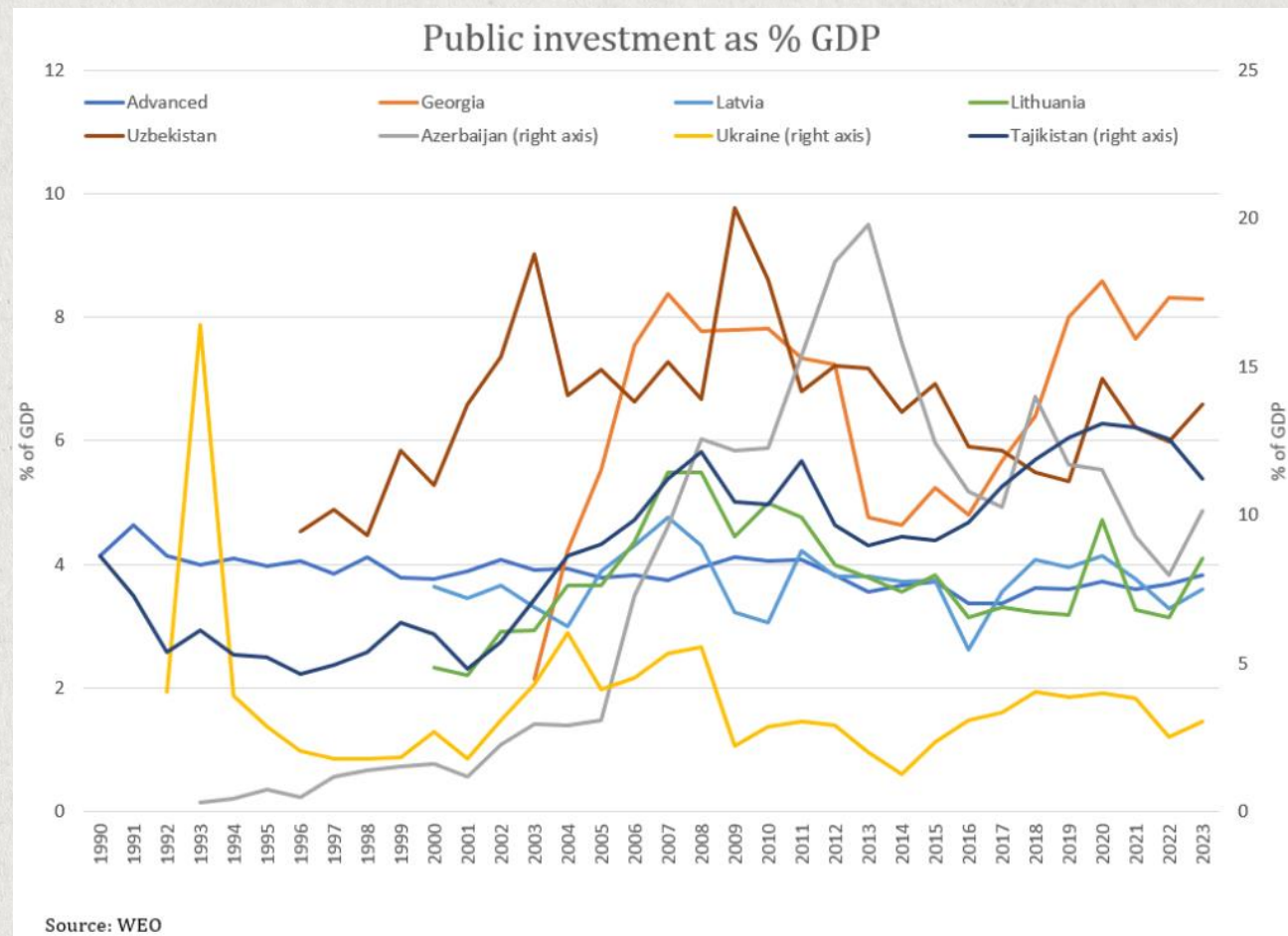
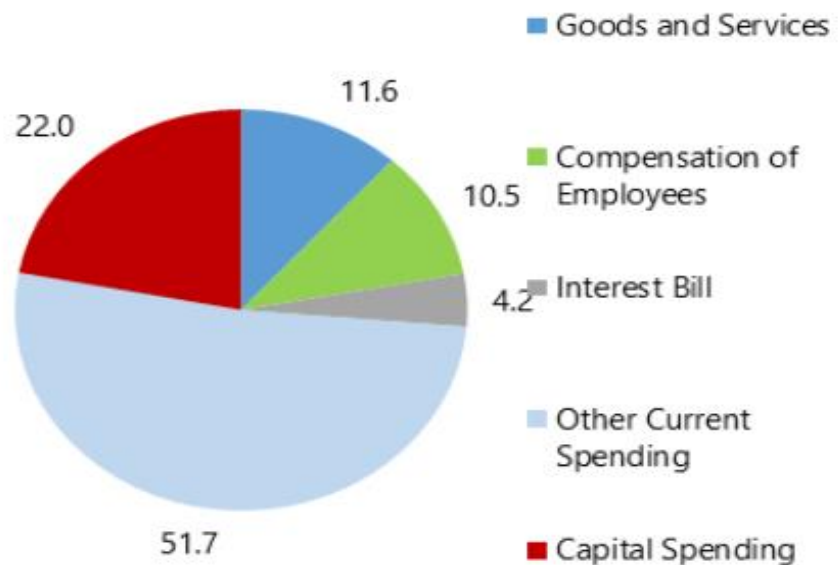
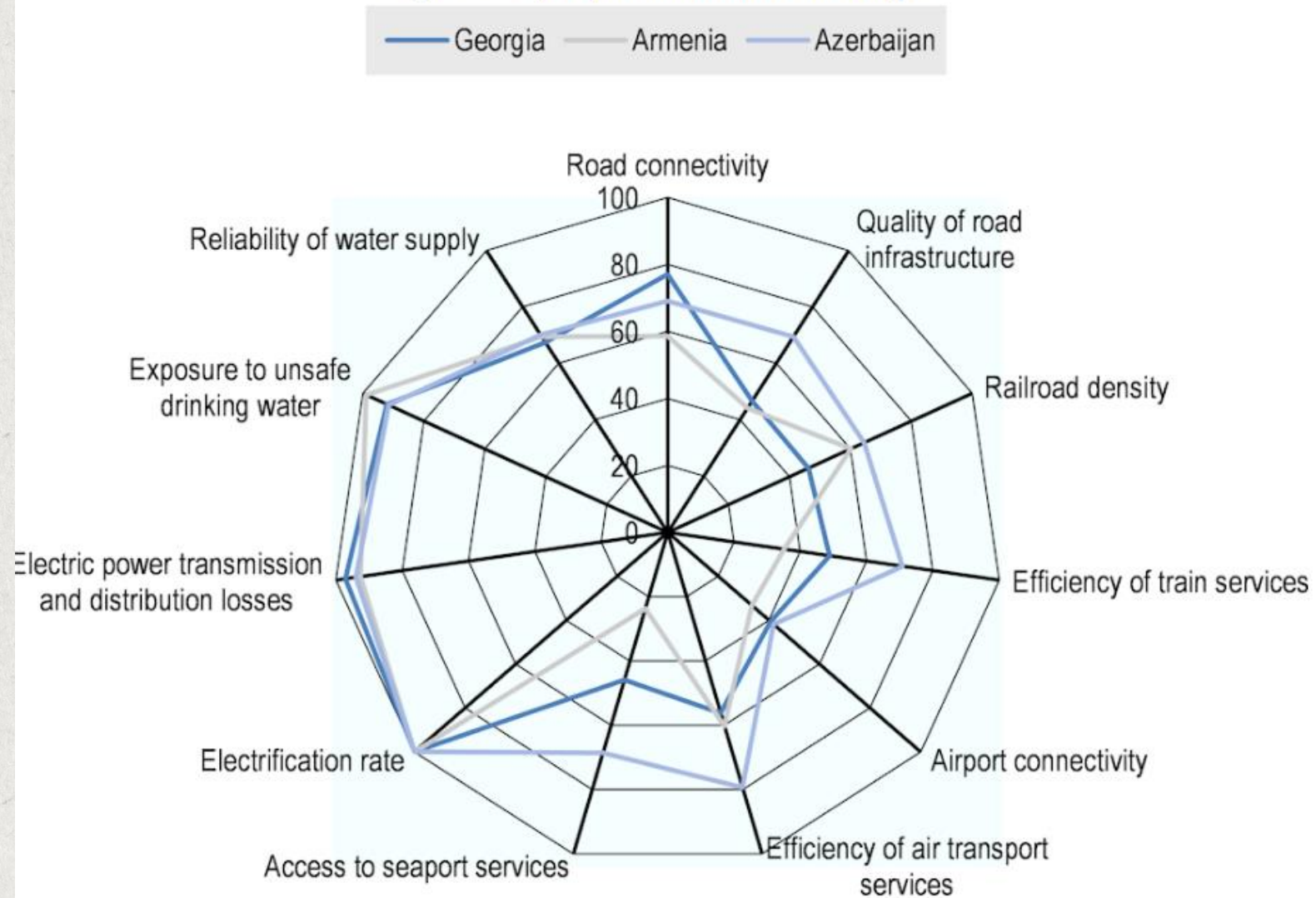


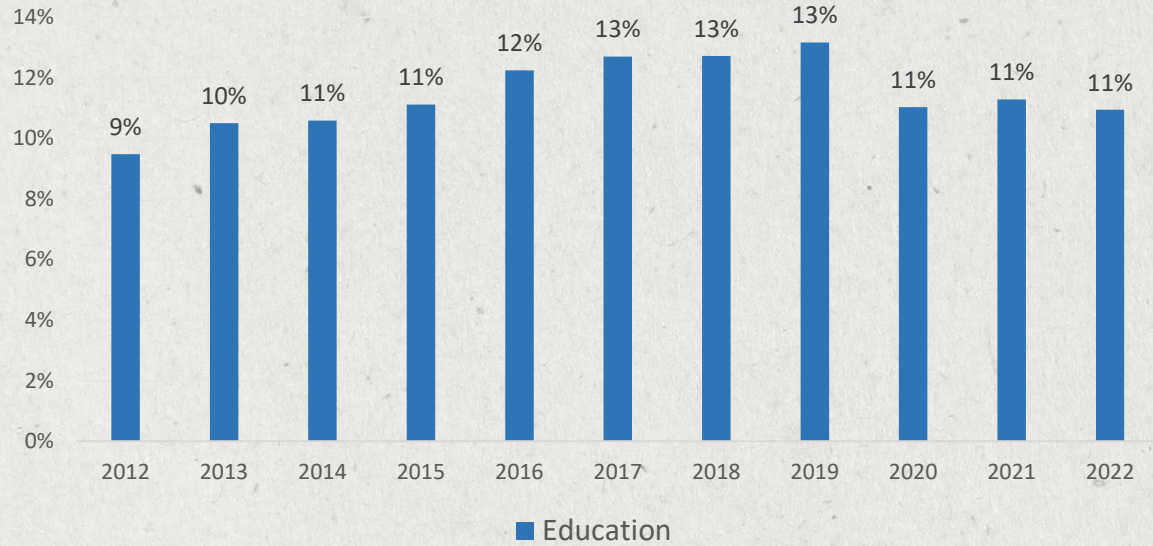
Figure 4.5. **Quality of infrastructure in Georgia**



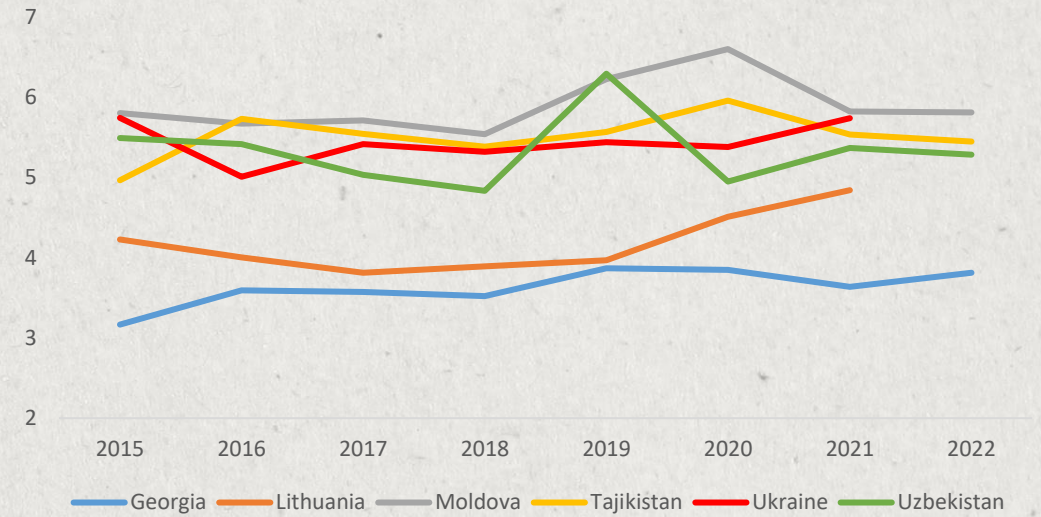
Source: World Economic Forum (2019[22]), *The Global Competitiveness Report 2019*, World Economic Forum, http://www3.weforum.org/docs/WEF_TheGlobalCompetitivenessReport2019.pdf

Fiscal Spending on Education

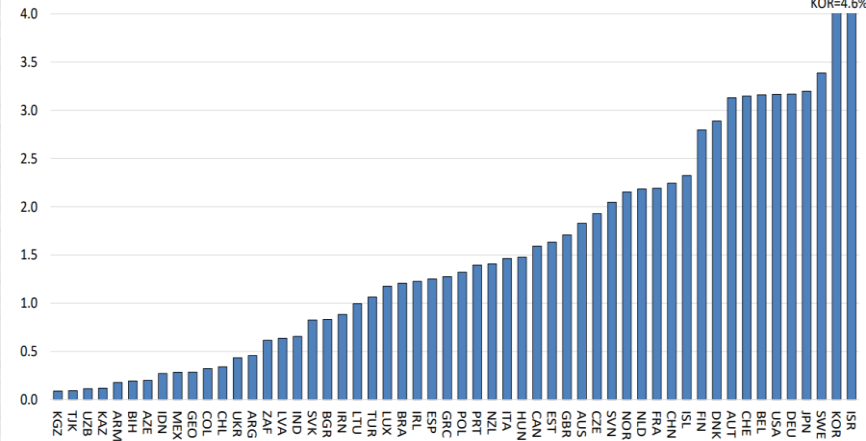
Education share in Government expenditure



Government expenditure on education (% of GDP)



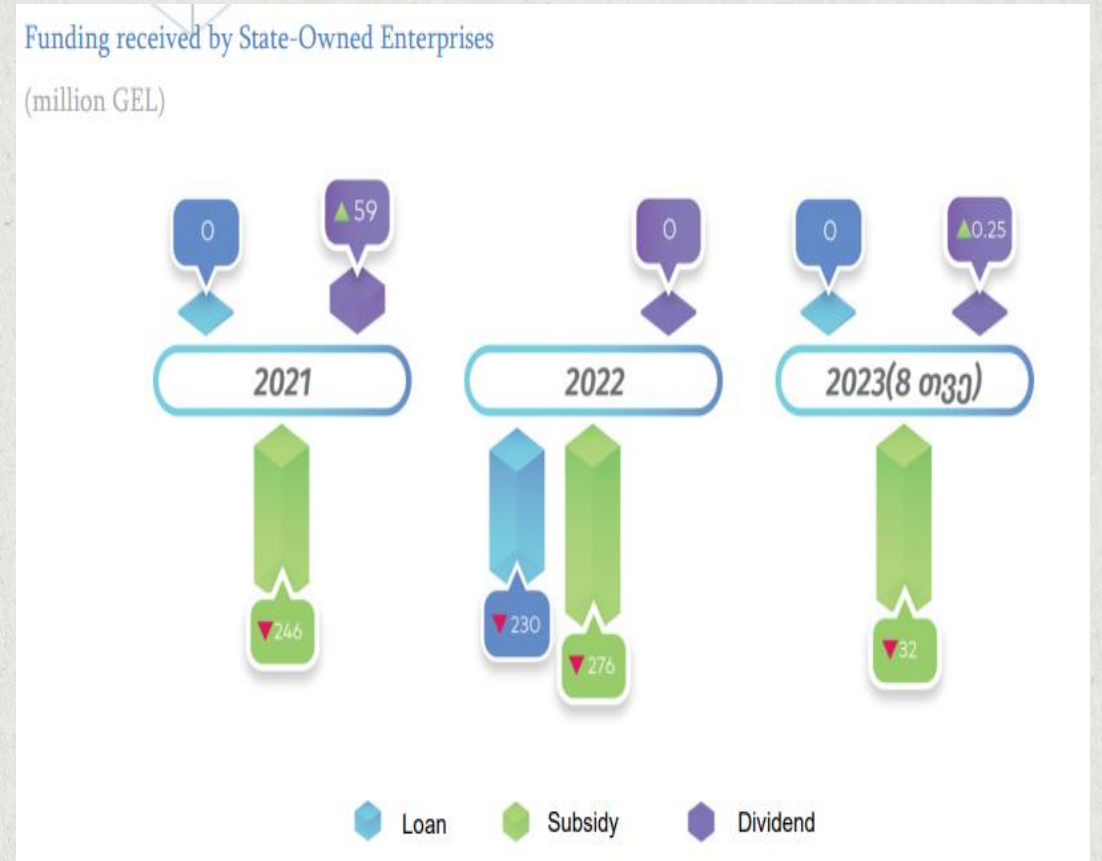
Research and development expenditure, % of GDP, 2019



Source: UNESCO Institute for Statistics

Fiscal Risks

- **State-owned enterprises (SOEs)**
 - preferential access of SOEs to financing and inadequate financial oversight
 - unfunded quasi-fiscal activities;
 - weak SOE corporate governance
- **Climate change**
 - Ensuring that national climate strategies
 - Mainstreaming climate-related criteria into project selection
 - resource allocation by introducing climate tagging in the budget



Policy Recommendation

- ❖ *Reform State-Owned Enterprises (SOEs) to limit their fiscal risks and enhance their efficiency*
- ❖ *Maintain prudent macroeconomic policies to increase resilience to adverse shocks*
- ❖ *Consider a bigger shift toward direct tax (Progressive taxation)*
- ❖ *Continue and strengthen supporting infrastructure projects – Anaklia deep sea port, airports capacity, Log-in Georgia*
- ❖ *Green economy framework: energy market development (market opening, green certificates), renewables, tax exemptions on R&D activities in renewable development.*
- ❖ *Reform in education: increase spending on infrastructure (schools) and*

High poverty level and Low academic performance

Poverty headcount ratio at \$3.65 a day (2017 PPP) (% of population), 2019

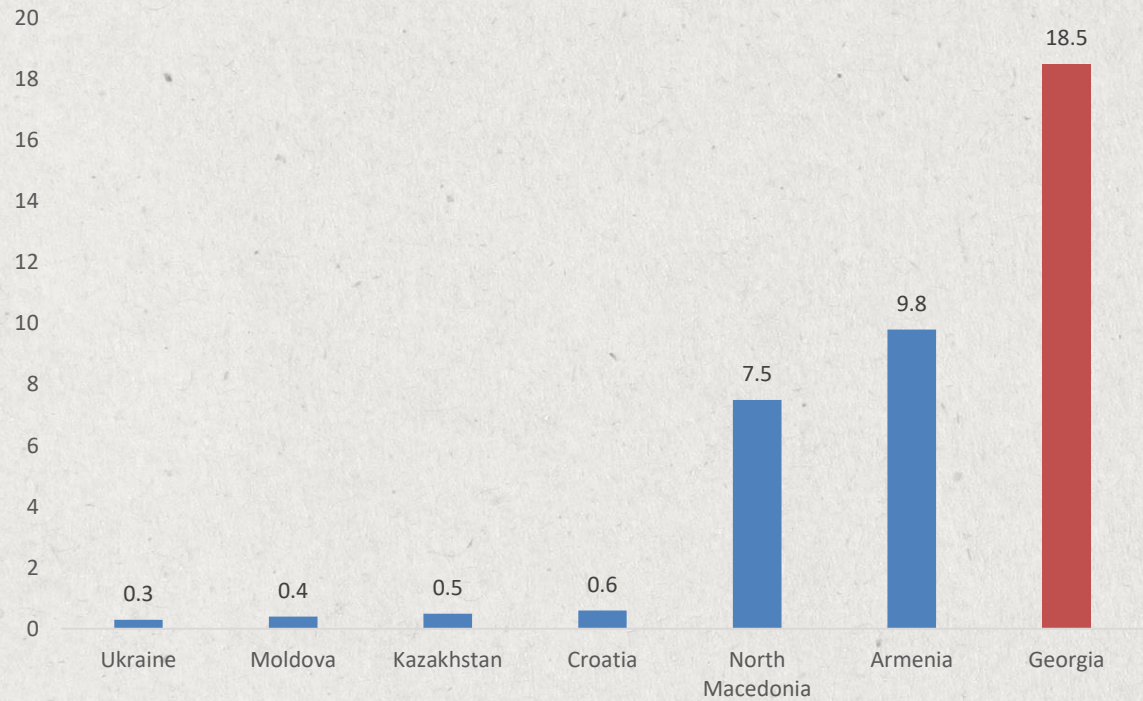
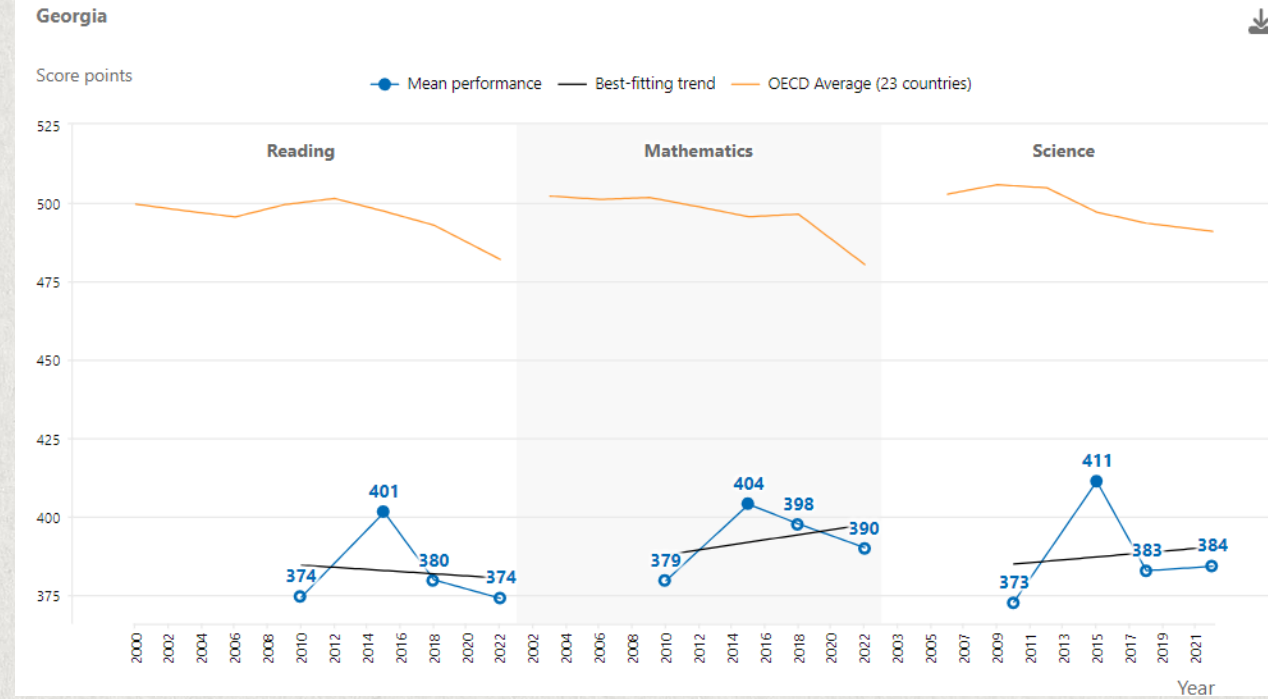


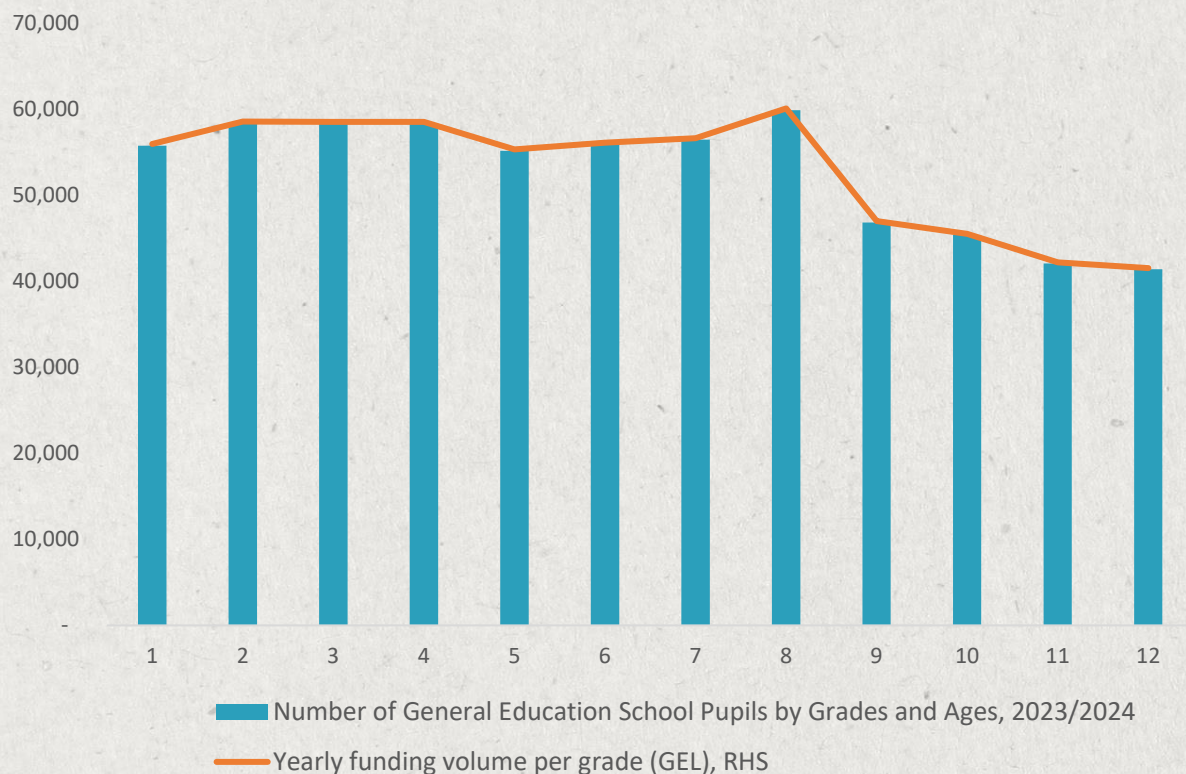
Figure 1. Trends in performance in mathematics, reading and science



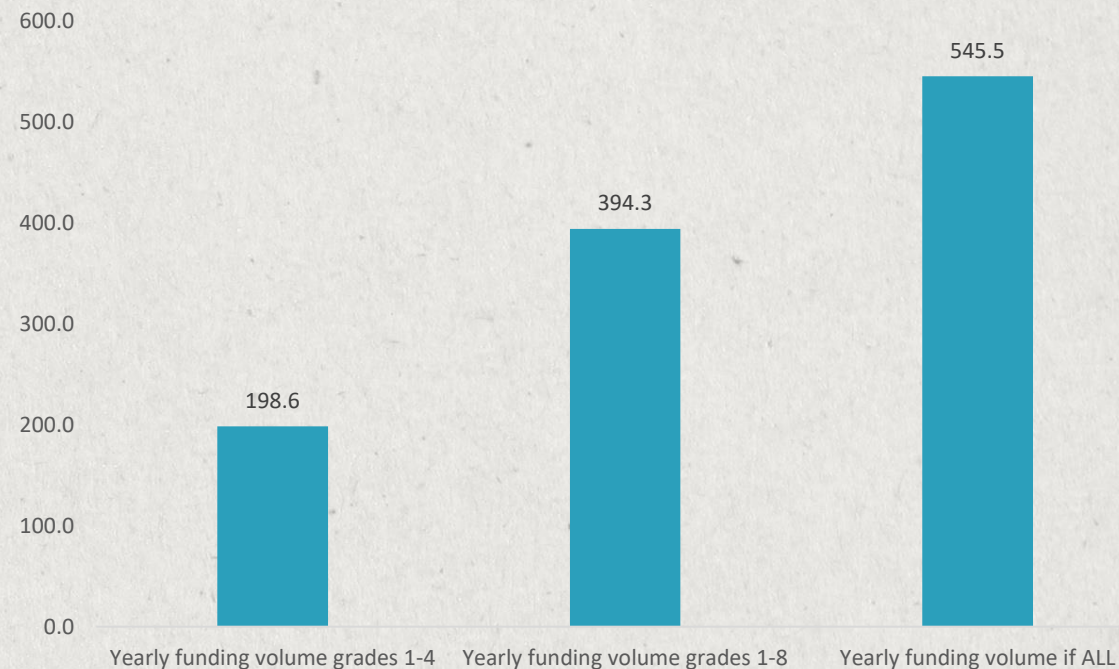
Georgia ranks at 65 out of 81 countries at PISA ranking

Free feeding program for schoolchildren

Need for allowance support funding by school grade 2023/2024



Need for allowance support funding by school grade (Mln. GEL 2023/2024)



Thank you!

